

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAHARAN SUSTENANCE, *Claimant*

v.

CMA CGM (AMERICA) LLC, *Respondent*.

DOCKET NO. 2039(I)

Served: May 8, 2026

BEFORE: Jamie Mendelson, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Saharan Sustenance (“Claimant”) initiated this proceeding by filing a small claim (“Claim”) for informal adjudication at the Federal Maritime Commission (“FMC” or “Commission”) against Respondent CMA CGM (American) LLC (“CMA CGM” or “Respondent”), alleging Respondent assessed detention charges in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5(c)(1).

Claimant, the consignee of the shipment at issue, alleges that Respondent, an ocean common carrier, assessed unjust and unreasonable detention charges for time that the container was at a designated government inspection site and not available for retrieval. Respondent disputes the Claim and contends that the government inspection hold was already lifted when the free time expired and detention charges began to accrue. Respondent further contends that the only reason the container was unavailable for retrieval from the inspection site after the inspection hold was lifted was because the freight charge had not yet been paid, which was a requirement for release of the container. Claimant counters that Respondent is at fault for the delayed payment of the freight charge because Respondent’s own actions prevented Claimant from making the payment.

As discussed in detail below, Claimant has failed to establish a violation and the Claim is **DENIED** and **DISMISSED**.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

II. BACKGROUND

A. Procedural History

Claimant filed the Claim and exhibits with the Office of the Secretary on September 2, 2025. The Claim was served on September 3, 2025. *See* Notice of Filing of Small Claims Complaint and Assignment. Respondent filed a response to the Claim and exhibits (“Response”) on September 29, 2025.

On September 30, 2025, this matter was assigned to Small Claims Officer (“SCO”) Theresa Dike. *See* Notice of Assignment to Small Claims Officer. Due to a lapse in appropriations, the Office of Administrative Law Judges was unavailable October 1, 2025, through November 13, 2025. Claimant filed a reply to the Response (“Reply”) on December 9, 2025. This matter was reassigned to me to serve as the SCO on March 5, 2026. *See* Notice of Reassignment.

On March 6, 2026, I issued a Request for Information (“First RFI”). On March 20, 2026, both Claimant and Respondent submitted a response to the RFI (“C. First RFI Resp.” & “R. First RFI Resp.”). Neither party submitted a reply to the other party’s response. On April 2, 2026, I issued a Second RFI to Respondent, and Respondent submitted a response (“R. 2d RFI Resp.”) on April 16, 2026. Claimant submitted a reply (“C. 2d RFI Reply”) on April 30, 2026.

B. Summary

Respondent, an ocean common carrier, shipped a refrigerated container of foodstuff from Algeria to the United States. Claim at Ex. 1. Upon arriving at the Port of Los Angeles, the container was subject to a U.S. Customs and Border Protection (“CBP”) hold for an inspection, and the container was transferred to a Centralized Examination Station (“CES”) on April 22, 2025. Claim at p. 1, Exs. 2 & 6; R. 2d RFI Resp. at p. 2. On the same day that the container was transferred to the CES, Respondent started the clock for three working days of “free time” before the assessment of detention charges for the container pursuant to Respondent’s tariff. Claim at Ex. 10; R. 2d RFI Resp. at p. 2. The detention free time ran from April 22, 2025, through April 24, 2025. Claim at Ex. 10.

On April 23, 2025, the day before the last free day, CBP completed the inspection and lifted the customs hold on the container. Claim at Exs. 3, 4, 6; Response at p. 9. Although CBP lifted the inspection hold, the CES could not release the container because it required the official bill of lading (“OBL”) to do so, and Respondent had not released the OBL due to an outstanding freight charge. C. First RFI Resp. No. 3.C.; R. First RFI Resp. at No. 2. Both Claimant and Respondent agree that, once the CBP inspection hold was lifted on April 23, 2025, the outstanding freight payment was “the final operational requirement for release” from the CES, and that the freight payment was not made until one week later on April 30, 2025. C. First RFI Resp. at p. 1. However, the parties dispute who was at fault in causing the delay of the freight payment.

According to Claimant, the reason the freight payment was delayed—thus delaying the CES’s ability to release the container—was because Respondent failed to issue a revised invoice to allow Claimant to make the freight payment at the destination port, as Claimant had repeatedly

requested. *Id.* at p. 2. Claimant explains that the shipment was originally issued as “freight prepaid,” meaning the freight payment would be made at the port of origin (Algeria). *Id.* However, on March 29, 2025, while the container was in route to the Port of Los Angeles, Claimant informed Respondent that an error had been made in setting the shipment as freight prepaid and requested a change to “FOB” (Free on Board), meaning the freight would be paid at the destination in the United States. *Id.* at Ex. 23. Claimant requested that Respondent cancel the prepaid invoice, convert the freight charges to “collect,” and issue a new invoice to reflect the charges to be collected in the United States. *Id.* at Exs. 28-53. According to Claimant, Respondent agreed to do so but failed to issue the revised invoice despite numerous requests. *Id.* at p. 2. By email correspondence, Claimant continued to ask Respondent to issue the revised invoice repeatedly so that Claimant could pay the freight charges in the United States. *Id.* at Exs. 28-53. After Respondent continued to fail to issue the revised invoice, the shipper, at Claimant’s request, made freight payment on the origin side in Algeria on April 30, 2025. *Id.* at p. 2 & Ex. 54.

Respondent does not acknowledge that Claimant requested a revised invoice in order to effectuate payment at the port of destination. Instead, Respondent contends “[t]he record does not indicate why the shipper or consignee waited until” April 30, 2025, to make the freight payment and “[n]othing on the carrier side prevented earlier payment.” R. First RFI Resp. at p. 2. Upon receiving the freight payment on April 30, 2025, on that same date, Respondent released the OBL and the CES issued a “Ready for Pickup” notice, which also notified Claimant that the “last free day” for the container to remain at the CES facility was May 2, 2026. C. First RFI Resp. at Exs. 55 and 55.1; Claim at Ex. 7. The container was out-gated from the CES facility on May 2, 2025, and returned empty on May 14, 2024. Claim at p. 1. Respondent charged detention for the container from April 25, 2025 (the expiration of Respondent’s free time), through May 14, 2025 (the date the container was returned empty). Claim at Ex. 10.

Claimant disputes the detention charges from April 25, 2025, through May 2, 2025 (the CES last free day), as unjust and unreasonable because the container was “under government control” at the CES facility during those dates. Claim at p. 1. Claimant argues that while the CBP manifest was lifted on April 23, 2025, the CES did not issue the “ready for pickup” notice until April 30, 2025. Reply at p. 1. According to Claimant, under FMC precedent, delays at a CES are considered “government inspections” under 46 C.F.R. § 545.2(c)(2)(iv), “during which detention charges effectively fail to serve their incentivizing purpose.” *Id.* Under the interpretive rule at 46 C.F.R. § 545.5, charging detention while a container is still being processed at a CES does not incentivize cargo movement but rather penalizes the shipper for government-mandated delays. *Id.* Claimant further argues that it is unreasonable for Respondent to charge detention during dates when the CES granted free time for the container’s retrieval. *Id.*

Respondent, in turn, contends that the CBP exam hold was lifted on April 23, 2025, which was one day prior to the April 24, 2025, last free day for detention charges under Respondent’s tariffs. Response at p. 2. Respondent did not bill any detention charges during the period the container was still under the CBP hold. *Id.* Once the CBP hold was lifted, Claimant was solely responsible for properly carrying out all steps necessary for the container’s release from the CES facility. *Id.* at p. 3. Respondent maintains that it did not prevent earlier payment of the freight charges and released the OBL on the same day it received the freight payment. R. First RFI Resp. at p. 2. Additionally, Respondent asserts that the CES “last free day” of May 2,

2025, did not “somehow extended” Respondent’s detention free time. Response at p. 5. Respondent contends that the CES free time was the window in which Claimant needed to retrieve the container from the CES facility before the CES charged its own fees and was not an extension of Respondent’s free time. *Id.*

Additionally, Respondent asserts that Claimant “seeks to relitigate” the same charges it unsuccessfully raised in a Charge Complaint before the FMC. *Id.* at p. 1. Because Respondent had the burden of proof to establish that the detention charges were reasonable under the Charge Complaint procedures,² the FMC Bureau of Enforcement, Investigations, and Compliance’s (“BEIC’s”) decision to close the Charge Complaint without further action is “*prima facie* evidence” that Respondent carried its burden and a ruling should be entered in Respondent’s favor. *Id.* at n.1.

III. PERTINENT FACTS ESTABLISHED BY THE RECORD (“PF”)

A. The Parties

1. Claimant Saharan Sustenance is a registered corporation with a principal office based in Anchorage, Alaska. Claim at p. 1. Claimant is engaged in the business of importing foodstuffs. *Id.*
2. Respondent CMA CGM (AMERICA) LLC is a vessel operating common carrier based in Norfolk, Virginia. Claim at p. 1; Response at p. 2; *see also* <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc> (last visited May 7, 2026).

B. Shipment

3. On February 3, 2025, Respondent received a “Shipping Instruction Request” to ship a 20-foot refrigerated container of dates from the Port of Alger, Algeria, to the Port of Los Angeles, California. Response at Ex. B. The shipping instructions list Sarl Jenna International, located in Algeria, as the Shipper, and lists Claimant as the Consignee and Notify Party. *Id.* The shipping instructions state the shipment is by freight prepaid and lists Sarl Jenna International as the freight payer. *Id.*
4. The waybill for the shipment also states the shipment is by freight prepaid with freight to be paid at Alger. Claim at Ex. 1.

C. Request to Change Freight Billing

5. On March 29, 2025, while the container was in route to the Port of Los Angeles, Claimant sent an email to Respondent at usa.insaleswcr@usa.cma-cgm.com requesting that the freight billing be changed from prepaid freight to “FOB” [Free on Board], and requesting a freight quote from the United States office. C. First RFI Resp. at Ex. 23. In the email, Claimant explained: “[T]here was an error, and the incoterms were set to prepaid freight, when we had requested FOB. So we would like to request a freight quote

² *See* 46 U.S.C. § 41310(b)(2).

from your US office, so that we can send it to our client who can then have the incoterms changed with the CMA office in Algeria.” *Id.*

6. On April 10, 2025, the freight forwarder for the shipment sent an email to Respondent at usa.tarakelinan@usa.cma-cgm.com and usa.service@cma-cgm.com stating they received a request to change the intercom to FOB instead of “CFR” [Cost and Freight] and that they need a quote for the “O/F” [ocean freight] that will be paid at the destination. C. First RFI Resp. at Ex. 24.
7. An email dated April 10, 2025, shows that Respondent at usa.service@cma-cgm.com forwarded the April 10, 2025, email from the freight forwarder to Respondent’s “sales team” at age.salessupport@cma-cgm.com. C. First RFI Resp. at Ex. 25.

D. CBP Inspection and Start of Free Time

8. On April 12, 2025, a customs hold was placed on the container. Response at p. 9.
9. On April 15, 2025, Respondent issued a “General Notice” to Claimant that the shipment “has been placed on an ENFCES [Enforcement Examination at a Centralized Examination Station] exam hold.” C. First RFI Resp. at Ex. 26.
10. On April 17, 2025, the container was discharged from the vessel at the Port of Los Angeles. Response at p. 9.
11. On April 22, 2025, the container was moved to the Centralized Examination Station (“CES”) for the U.S. Customs and Border Protection (“CBP”) inspection. Claim at p. 1 & Ex. 6.
12. On April 22, 2025, the three working days of “free time” for the container started under Respondent’s tariff. Claim at Ex. 10.
13. On April 23, 2025, the CBP exam hold was released. Claim at Exs. 3, 4, 6; Response at p. 9.
14. On April 23, 2025, the CES sent an email to Claimant’s broker, copying Claimant, which provided notification that “Exam has been completed pending OBL [official bill of lading] release.” Response at pp. 3, 18. On that same date, Claimant’s broker sent an email explaining to Claimant that the “OBL (Original Bill of Lading) needs to be paid, also referred to as the telex release. Please reach out to whom you booked the shipment.” *Id.* at pp. 3, 17.
15. Once the CBP exam hold was lifted on April 23, 2025, CES could not release the container until receiving an OBL release and the OBL could not be released until the freight was paid. C. First RFI Resp. at p. 4; R. First RFI Resp. at pp. 1-2.

E. Emails Regarding Freight Payment, OBL, and Release of Container

16. Between April 21, 2025, and April 28, 2025, Claimant and Claimant's broker exchanged numerous emails with Respondent, repeatedly attempting to change the freight billing from freight prepaid to collect (as previously requested), and to obtain the revised freight invoice in order for Claimant to make the freight payment at the destination and a release of the OBL. C. First RFI Resp. at Exs. 28-53.
- a. On April 21, 2025, Respondent at ssc.ccaimprates@cma-cgm.com sent an email to the freight forwarder stating that they need to "check with the CEE [consignee]" in order to update the billing to collect the freight charge at the destination. C. First RFI Resp. at Ex. 28. The freight forwarder responded on April 22, 2025, copying Claimant, with the message: "Adding cnee [consignee] on the loop, pls send your quote urgently." *Id.*
 - b. On April 22, 2025, Respondent at ssc.ccaimprates@cma-cgm.com sent an email message to Claimant asking, "Please confirm if you accept the charges on a collect basis or not." C. First RFI Resp. at Ex. 29. Claimant replied on the same date, stating "Saharan Sustenance is prepared to pay the shipping charges. Please let us know how to do that." *Id.* at Ex. 30.
 - c. On April 22, 2025, Respondent at ssc.ccaimprates@cma-cgm.com replied to Claimant explaining, "The prepaid charges invoice needs to be cancelled and once it is cancelled, we can amend the charges to collect at USVAB side. After that we will share the collect charges invoice for the payment processing." C. First RFI Resp. at Ex. 31. Claimant replied on the same date, asking "What can we do to help?" *Id.* at Ex. 32.
 - d. On April 23, 2025, Respondent at ssc.ccaimprates@cma-cgm.com forwarded the email chain to Respondent at age.customerservice@cma-cgm.com with the message, "Please help to cancel the prepaid invoice as we need to update the charges to collect as per the below mail confirmation. Confirm once invoice has been cancelled." C. First RFI Resp. at Ex. 33. On the same date, Respondent at ssc.ccaimprates@cma-cgm.com sent another email to Respondent at usa.service@cma-cgm.com asking, "Please confirm then what exactly is needed from our end. What action is needed?" *Id.* at Ex. 35.
 - e. On April 23, 2025, Claimant's broker sent Respondent an email at ssc.ccaimprates@cma-cgm.com and age.customerservice@cma-cgm.com asking, "Please release the OBL, we need this to get it picked up. If payment needs to be made, please direct [Claimant] in the right direction. The exam is completed, and my customer does not want to have to pay any additional fees, such as storage for this." C. First RFI Resp. at Ex. 36.
 - f. On April 24, 2025, Claimant sent Respondent an email at ssc.ccaimprates@cma-cgm.com and usa.service@cma-cgm.com with the message, "Please send the invoice that needs to be taken care of and release the Original Bill of Lading." C.

First RFI Resp. at Ex. 37. Respondent at usa.service@cma-cgm.com replied to Claimant's email on the same date, copying Respondent at ssc.ccaimprates@cma-cgm.com, with the message:

Good Day [Claimant].

Please note the charges have not yet been amended to collect instead of prepaid. Our rates team in copy is still resolving the issue.

@ssc.ccaimprates@cma-cgm.com
Do you have an update on the charges?

Id. at Ex. 38.

- g. Claimant replied on April 24, 2025 to Respondent at usa.service@cma-cgm.com and copying Respondent at ssc.ccaimprates@cma-cgm.com, with the message, "Please amend the charges and advise on how to pay as soon as possible." C. First RFI Resp. at Ex. 39.
- h. On April 24, 2025, Respondent at ssc.ccaimprates@cma-cgm.com replied to Respondent at usa.service@cma-cgm.com asking, "Please help cancel the prepaid invoice so that we can amend the charged [sic] to collect." C. First RFI Resp. at Ex. 40.
- i. On April 24, 2025, Respondent at usa.service@cma-cgm.com sent an email to Claimant stating, "I am working on getting the charges changed to collect. I will send the invoice over once generated." C. First RFI Resp. at Ex. 41. On April 25, 2025, Respondent at usa.service@cma-cgm.com forwarded this email to Respondent at ssc.ccaimprates@cma-cgm.com asking, "Can you help update prepaid charges to collect per customer's request?" *Id.* at Ex. 42. On the same day, Respondent at ssc.ccaimprates@cma-cgm.com replied to Respondent at usa.service@cma-cgm.com stating, "As cargo arrived at POD [port of destination] we will need CEE [consignee] confirmation for this to get updated as Prepaid to Collect@USVAB, if you have confirmation or acceptance pl. provide or let us know if you want us to chase CEE for this, tks." *Id.* at Ex. 42.
- j. On April 25, 2025, Respondent at usa.service@cma-cgm.com sent Claimant an email asking, "Can you please confirm your request to change the prepaid charges on [the container] to collect?" C. First RFI Resp. at Ex. 42. Claimant replied on the same date stating, "Yes, please. Saharan Sustenance will pay the charges, not the shipper." *Id.* at Ex. 43. On the same date, Respondent at usa.service@cma-cgm.com forwarded Claimant's reply to Respondent at ssc.ccaimprates@cma-cgm.com with the message, "Please see the confirmation from the CEE here." *Id.* at Ex. 44.
- k. On April 25, 2025, Respondent at ssc.ccaimprates@cma-cgm.com forwarded the email chain with Claimant's confirmation to Respondent's Algeria Sales Support

team stating, “As per the below confirmation pl. assist to cancel Prepaid invoices for us to update the same as Collect@USVAB, tks.” C. First RFI Resp. at Ex. 45. On April 28, 2025, Respondent’s Algeria Sales Support team replied with the message, “Looping in @DZA.Service colleagues to assist with the matter below.” *Id.* at Ex. 47.

17. On April 29, 2025, Claimant called the shipper in Algeria to request that they make a payment attempt. C. First RFI Resp. at p. 2. On April 30, 2025, the shipper paid the freight charge in Algeria. *Id.* at p. 2 and Ex. 54. On the same date, Respondent issued a “Container Available Notice,” documenting that payment and OBL were received and a container release date of April 30, 2025. *Id.* at Exs. 55 and 55.1.
18. On April 30, 2025, the CES sent an email to Claimant stating the container was “Ready for Pickup” with an “LFD” [last free day] of May 2, 2025. Claim at Ex. 7.

F. Detention Charges

19. The container was out-gated from the CES facility on May 2, 2025. Claim at Ex. 8.
20. The container was returned empty to Respondent on May 14, 2025. Claim at p. 1.
21. On May 19, 2024, Respondent issued an invoice to Claimant assessing detention charges pursuant to its general tariff from April 25, 2025, to May 14, 2025. Claim at Ex. 10. The invoice lists free time of three working days; the start date of free time as April 22, 2025; and the last free day as April 24, 2025. The detention rate for the first three calendar days—April 25, 2025, through April 27, 2025—was \$375 per day. The detention rate for the next four calendar days—April 28, 2025 through May 1, 2025—was \$475 per day. The detention rate for the subsequent 13 days—May 2, 2025 through May 14, 2025—was \$545 per day. *Id.* The detention charges total \$10,110.00. *Id.*

G. Respondent’s Tariff

22. Respondent’s applicable general tariff is CMDU-100 (U.S. Unified Tariff). R. Second RFI Resp. at p.1.
23. Rule 300 of CMDU-100 applies to “U.S. Detention.” R. Second RFI Resp. at Ex. D. Pursuant to Rule 300, “Free time for temperature controlled ... equipment is day of interchange plus the next two working days.” *Id.* at Ex. D, p. 1. “Saturdays, Sundays and holidays shall be excluded. Upon expiration of free time, per diem charges shall be assessed on a straight calendar day basis until the equipment is returned.” *Id.* For refrigerated containers at all U.S. ports, charges per calendar day after the expiration of free time are: Days 4-6, \$375; Days 7-10, \$475; and Days 11+, \$545. *Id.* at Ex. D, p. 2.
24. Rule 100 of CMDU-100 applies to “Import Demurrage,” but has a provision that pertains to free time and detention charges during a customs hold. R. Second RFI Resp. at Ex. E. Pursuant to Rule 100, “In the event cargo is placed on customs hold or quarantined while located at the discharge port and an examination is required, detention or demurrage

charges shall accrue during the period of customs hold and/or quarantine.” *Id.* at Ex. E, p. 5. The rule specifies the following with respect to free time and detention charges:

In the event cargo is delivered directly to the customer following a customs exam the following rule shall apply:

- Demurrage free time will end once the container leaves the port;
- Detention free time will commence once the container leaves the port; and
- Standard detention charges shall apply until container is returned empty.
- See Rule 300 section B within this tariff for rates.

Id.

IV. DISCUSSION

A. Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Controlling Authority

Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements of a section 41102(c) claim are that:

(1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

(2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

(3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;

(4) The practice or regulation is unjust or unreasonable; and

(5) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The act at issue is the assessment of “detention” charges, which are defined as “any charges, including ‘per diem,’ assessed by ocean common carriers ... related to the use of ... shipping containers, not including freight charges.” 46 C.F.R. § 545.5(b). As explained by the Court of Appeals for the District of Columbia:

The practice in the shipping industry is that the party responsible for retrieving a loaded container from a port and delivering its cargo to the addressee is allotted a certain number of days to return the empty container and any related equipment before detention charges begin to accrue. The amount of this so-called “free time” is either set forth in the ocean carrier’s “tariff” of published terms and conditions for transportation or established by contract. Per diem detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return.

Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n, 106 F.4th 1113, 1115 (D.C. Cir. 2024).

The Commission has provided guidance about how it will interpret 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4 in the specific context of assessing the reasonableness of demurrage and detention practices and regulations. 46 C.F.R. § 545.5(a). Specifically, “the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” *Id.* § 454.5(c). In conducting the reasonableness analysis, the Commission may consider the extent to which the practices and regulations “relate demurrage or free time to cargo availability for retrieval.” *Id.* § 545.5(c)(2)(i). In the context of government inspections, the Commission “may also consider any extenuating circumstances.” *Id.* § 545.5(c)(2)(iv). The “existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations” may also be considered in the reasonableness analysis. *Id.* § 545.5(d).

As the Commission explained in the *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, whether free time is started upon actual container availability is a consideration in determining the reasonableness of detention practices:

In addition to describing how section 41102(c) may apply in the demurrage and detention context—the incentive principle—the Commission in the NPRM [Notice of Proposed Rulemaking] also sought to explain how that principle might

work in particular contexts. First, the Commission clarified that it may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval. If, the Commission stated, shippers or truckers cannot pick up cargo within free time, then demurrage cannot serve its incentive purpose. Put slightly differently, if a free time practice is not tailored so as to provide a shipper a reasonable opportunity to retrieve its cargo, it is not likely to be reasonable.

The Commission emphasized that concepts such as cargo availability or accessibility refer to the actual availability of cargo for retrieval by a shipper or trucker. The Commission did not go so far as to define what availability means, but it said that certain practices would weigh favorably in the reasonableness analysis, including starting free time upon container availability and stopping a demurrage or free time clock when a container is rendered unavailable, such as when a trucker cannot get an appointment within free time.

....

As explained in the NPRM, it makes sense that if free time represents a reasonable opportunity for a shipper to retrieve a container, it should be tied, to the extent possible, to cargo availability, and the Commission recognizes the merits of that approach.

85 Fed. Reg. 29638, 29654 (May 18, 2020) (internal citations omitted) (codified at 46 C.F.R. § 545.5).

Ultimately, the Commission declined to “make a finding that failure to start free time upon ‘availability’ is necessarily unreasonable” and likewise decided that “requiring specific ‘stop-the-clock’ procedures is beyond the scope of this rulemaking.” 85 Fed. Reg. at 29654. Nonetheless, “the Commission will consider in the reasonableness analysis how demurrage and detention practices address interruptions in availability during free time.” *Id.* In the context of government inspections, the Commission noted that nothing “distinguish[es] them from other circumstances that prevent shippers from retrieving cargo” and “the rule makes clear that the Commission may consider the incentive principle in the government inspection context as it would in any other context.” *Id.* at 29659.

Section 41102(c) is not intended to cover an isolated incident, but rather a pattern of behavior on a “normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). In its notice of proposed rulemaking, the Commission explained that it was rejecting a line of cases that held “discrete conduct with respect to a particular shipment, if determined to be unjust or unreasonable, represents a violation of § 41102(c), regardless of whether that conduct represents a respondent’s *practice* or *regulation*.” *Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984 (“NPRM”)*, 83 Fed. Reg. 45367 (Sep. 8, 2018) (emphasis in original). The Commission explained, “[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in a practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.” *Id.* (emphasis in original). The

interpretive rule promulgated by the Commission would instead be “consistent with Commission precedent articulated in cases including *Intercoastal Investigation*,^[3] *Altieri*,^[4] *Stockton Elevators*,^[5] *European Trade*,^[6] *A.N. Deringer*,^[7] and *Kamara*^[8] that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable practices and regulations. These decisions require that a regulated entity engage in a practice or regulation on a normal, customary, and continuous basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.” *Id.* at 45368.⁹

A recent ALJ decision, affirmed by the Commission, aptly summarizes this line of precedent that defines the proper scope of section 41102(c):

Intercoastal Investigation describes a practice as “an often repeated and customary action.” *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935). In *Altieri*, the presiding officer found that, although respondent’s withholding of money owed to complainant to offset a disputed claim of respondent against complainant was clearly unlawful, it was “an isolated or ‘one shot’ occurrence,” and therefore not a “practice” within the meaning of the Shipping Act. *Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-420 (Oct. 18, 1962). In *Stockton Elevators*, the Commission described a “practice” as “something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction” *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964). In *European Trade Specialists*, the allegation was that the freight forwarder had failed to notify the shipper of the dispute as to the applicable tariff rate for their commodities. The ALJ found that the freight forwarder’s normal practice was to notify shippers of such disputes, that they had reached out to complainant for additional information regarding the classification of their shipment, and even if they had not, the failure to do so was a single incident, and so not a “practice.” *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1, 1977) *aff’d*, 19 S.R.R. 59, 63 (FMC 1979)). In *A.N. Deringer*, the respondent’s failure to specify the number of cartons on the bill of lading, which resulted in limitation of liability

³ *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400 (1935).

⁴ *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962).

⁵ *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605 (FMC 1964).

⁶ *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979).

⁷ *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273 (SO 1990).

⁸ *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001).

⁹ The Commission also recognized that although “this interpretation would prune and pare back the types of recent claims that have been be filed with the Commission to those related to the purposes of the Shipping Act’s § 41102(c), traditional legal venues will continue to be available to parties injured by discrete instances of unreasonable or unjust conduct consistent with long established maritime actions and other statutes specifically enacted by Congress, and long recognized common law remedies, all designed to address such circumstances.” *NPRM*, 83 Fed. Reg. 45638.

to loss for one carton rather than the 12 that were actually lost, was found to be “an isolated error;” the settlement officer noted that “an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity,” requiring proof of failure to enforce reasonable regulations and practices. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, Docket No. 1652(I), 25 S.R.R. 1273, 1276, 1990 WL 427469, at *4 (SO Nov. 14, 1990). In *Kamara*, the settlement officer held that a carrier’s failure to remit payment to a subcontracting carrier did not constitute a Shipping Act violation, although the shipper would have a contractual claim, since Section 10(d)(1) was not intended to cover “an isolated error or understandable misfortune,” but rather a “pattern of behavior.” *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001).

Mediterranean Shipping Company, S.A. - Possible Violations of the Shipping Act, 46 U.S.C. 41102(c), 40501, and 41104(a)(2)(a), 2025 WL 708791, at *37 (ALJ Feb. 25, 2025) *aff’d in part* 2026 WL 92421 (FMC Jan 6, 2026) (the respondent failed to observe a reasonable practice when it overcharged customers for demurrage and detention 2,629 times during a period of about nine months).

C. Analysis

Claimant alleges that Respondent’s assessment of detention charges from April 25, 2025 (after the CBP hold was lifted, but while the container was still being held at the CES facility pending the OBL release) to May 2, 2025 (the last free day at the CES facility), was unjust and unreasonable in violation of section 41102(c) of the Shipping Act.¹⁰

As an initial matter, I note the allegations in the Claim were the subject of a prior Charge Complaint in which the Commission, after investigation, decided to close without further action. Claim, Ex. 21. Respondent contends that, because under the Charge Complaint process it had the burden to establish that the detention charges were reasonable pursuant to 46 C.F.R. § 545.5, the Commission’s decision to take no action is “*prima facie* evidence that ... the currently disputed detention charges were reasonable.” Response at p. 1 & n.1. This argument lacks merit. Under the statutory provision setting forth the Charge Complaint process, 46 U.S.C. § 41310(b), the Commission conducted an investigation to determine whether, in its discretion, it would issue an Order to Show Cause under 46 C.F.R. § 502.91 to initiate a formal adjudication. *See Industry Advisory - Interim Procedures for Submitting “Charge Complaints” Under 46 U.S.C. § 4130 (“Interim Guidance”)*;¹¹ *Guidance on Charge Complaint Interim Procedure*.¹² The Commission’s determination not to initiate an adjudication is not a final decision on the merits of the Charge Complaint. This is reflected in the Commission’s *Interim Guidance* which provides: “A party is not barred from filing a subsequent small claims or formal complaint with the

¹⁰ Claimant does not contest the assessment of detention charges for the dates May 3, 2025, through May 12, 2025. Claim at p. 2; C. 2d RFI Reply at p. 6.

¹¹ <https://www.fmc.gov/articles/industry-advisory-interim-procedures-for-submitting-charge-complaints-under-46-u-s-c-%c2%a7-41310/> (last visited 7 May 2026).

¹² <https://www.fmc.gov/ocean-shipping-reform-act-of-2022-implementation/guidance-on-charge-complaint-interim-procedure/> (last visited 7 May 2026).

Commission based on an initial determination under the Charge Complaint procedure not to refer the matter to the Office of Enforcement concerning the disputed charge.” *Id.* In accordance with this guidance, the Claim is properly before me for adjudication and the FMC’s prior declination bears no weight in my analysis.

In analyzing the merits of the Claim, a timeline of events is helpful:

February 3, 2025: Shipping Instruction Request for freight prepaid shipment. PF 3.

March 29, 2025: Claimant first makes request to Respondent to change the billing from freight prepaid to collect at the port of destination. PF 5.

April 12, 2025: CBP hold placed on the container. PF 8.

April 15, 2025: Respondent provides notice to Claimant of CBP hold. PF 9.

April 17, 2025: Container discharged from vessel at port of destination. PF 10.

April 22, 2025: Container moved to CES facility for examination. Start of free time for container under Respondent’s tariff. PFs 11, 12.

April 22, 2025 through April 28, 2025: Numerous email exchanges between Claimant, Claimant’s broker, and Respondent, in which Claimant attempts to get a revised invoice for freight payment to be collected at the port of destination. PFs 16.a - 16.k.

April 23, 2025: CBP hold lifted. PF 13.

April 24, 2025: Last free day before detention is assessed pursuant to Respondent’s tariff. PFs 12, 21.

April 25, 2025 through May 14, 2025: Dates Respondent assesses detention fees. PF 21.

April 29, 2025: Claimant contacts shipper at port of origin to make freight payment. PF 17.

April 30, 2025: Shipper makes freight payment at port of origin, Respondent releases OBL, and CES issues “ready for pickup” notice. PFs 17, 18.

May 2, 2025: Container out-gated from CES facility. Last free day at CES facility. PF 18.

May 14, 2025: Container returned empty to Respondent. PF 20

With respect to the elements of a section 41102(c) claim, it is undisputed that the first and third elements are met: Respondent is an ocean common carrier, and the detention charges relate to receiving, handling, storing, or delivering property. *See* 46 C.F.R. § 545.4(a) and (c). The remaining elements that are at issue require Claimant to show that Respondent engaged in an unjust or unreasonable practice, on a normal, customary, and continuous basis, that was the proximate cause of the detention charges at issue. *Id.* § 545.4(b), (d), and (e).

1. Start of Free Time during CBP hold

While the Claim alleges a violation based on the assessment of detention charges while the container was still being held at the CES facility, the evidence of record raises the related issue of whether Respondent engaged in an unjust or unreasonable practice by starting free time when the container was rendered unavailable due to a government hold. The record establishes that Respondent started the three working days of free time under its general tariff on April 22, 2025—when the container was still under a CBP exam hold. This issue was raised in the Second RFI and Respondent was provided an opportunity to explain why the free time commenced while the container was still under a CBP hold, and to provide its policies with respect to free time during a government hold.

Under Respondent's tariff, the detention free time started on April 22, 2025, because that was the date the container was "interchanged," or out-gated to the CES facility. PFs 11, 12, 23. It is undisputed that on April 22, 2025, the start of the detention free time, the CBP inspection hold on the container was still in place. PFs 8, 13. Respondent explains that, pursuant to its tariff, free time always commences upon the date the equipment is interchanged (*i.e.*, out-gated from the terminal), and this rule applies regardless of whether the container is subject to a government hold. R. 2d RFI Resp. at p. 2. Respondent contends that it uses "objective, administrable events so that detention free time is applied uniformly and predictably across all shipments. For that reason, detention free time is triggered by interchange/out-gate milestones rather than by variable, shipment-specific conditions such as the duration of a government examination." *Id.* at p. 3. According to Respondent, [i]ntroducing tolling or extension of detention free time based on government holds would require discretionary, case-by-case determinations and would be inconsistent with the tariff's design." *Id.*

Respondent implicitly concedes that its tariff does not account for "actual availability" in starting free time because free time *always* commences upon the out-gating of the container regardless of whether the container is subject to a government hold. R. 2d RFI Resp. at p. 3. This raises concern because "[i]t makes sense that if free time represents a reasonable opportunity for a shipper to retrieve a container, it should be tied, to the extent possible, to cargo availability." 85 Fed. Reg. 29654. In defense of its detention free time practice, Respondent does not claim that its free time practice serves as a financial incentive for freight fluidity. Rather, Respondent argues that the purpose of the free time practice is to apply the free time "uniformly and predictably across all shipments" without consideration of "variable, shipment-specific conditions such as the duration of a government examination." R. 2d RFI Resp. at p. 3. Respondent argues that "[c]arriers cannot determine whether an examination occurs, how long it lasts, or when government or CES release is granted." *Id.* But this argument is contradicted by Respondent's own statement that "Respondent's systems do recognize CBP examination status for the limited purpose of ensuring accurate application of demurrage rates where demurrage applies and the container is still on the terminal, ...[but the] tariff does not suspend or reset detention free time based on examination status." *Id.* In other words, Respondent admits it has the capability to track CBP examination status for purposes of demurrage, but nonetheless claims it would be unworkable to track CBP examination status for purposes of detention. Moreover, Respondent concedes that there is no separate policy that would allow for tolling detention free time when a container is under a government inspection hold. *Id.* at p. 4.

Applying a uniform and predictable policy that free time always commences upon the out-gating of the container, regardless of whether the container is rendered unavailable by a government hold or otherwise, certainly has advantages in that it is easier to administer and provides greater certainty. These factors are also appropriate considerations in conducting the reasonableness analysis. *See* 42 C.F.R. § 545.5(f) (“Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.”). In weighing the factors, it may be that Respondent’s interest in administrative efficiency and clarity outweigh countervailing interests in tying free time to actual container availability. However, in this informal adjudication forum that does not allow for the parties to conduct discovery, the record is not developed on this issue which would require balancing complex and competing factors that extend far beyond this small claim proceeding. *See TWC, Inc. v. Hapag-Lloyd LLC*, Dkt. No. 1992(I), 2025 WL 843336 at *7 (FMC Mar. 12, 2025) (Dye concurrence) (“In cases ... involving substantially unsettled legal issues of Commission interpretation and policy, the small claims procedure is simply inadequate to develop a record which fully explores the issues....”). In the specific context of this case, resolution of this issue is not necessary because the free time was still running on the date the CBP hold was lifted—the CBP hold was lifted on April 23, 2025, and the last free day pursuant to Respondent’s tariff was on April 24, 2025. PFs 12, 13, 20. Accordingly, sufficient free time remained when the container was no longer rendered unavailable by a government hold to allow for “a reasonable opportunity for [Claimant] to retrieve [the] container.” 85 Fed. Reg. 29654.

2. Assessing detention while the container was still at the CES facility

Under Claimant’s theory of the Claim, Respondent engaged in an unjust or unreasonable practice because it assessed detention fees while the “container was under government control [at the CES facility] and unavailable for return.” Claim at p. 1. However, Claimant does not dispute that the CBP hold for the inspection was lifted on April 23, 2025, the day prior to the assessment of detention fees under Respondent’s tariff. Nonetheless, Claimant maintains that the container remained “physically unavailable” because the CES facility had not released it due to a “financial hold.” Reply at p. 2. Claimant concedes, however, that the reason the CES facility could not release the container after the CBP hold was lifted on April 23, 2025, was because freight payment “was the final operational step required for release” and the payment was not made until April 30, 2025. C. First RFI Resp. at p. 3. Even so, Claimant blames Respondent for failing to execute a requested billing change—to change freight payment from prepaid at the port of origin to collect at the port of destination—as the reason why Claimant could not make the freight payment and the payment was delayed until April 30, 2025, thus delaying the CES facility’s release of the container. According to Claimant, it was Respondent’s fault in failing to implement the requested billing change which prevented Claimant from making the freight payment at the port of destination, which ultimately delayed the CES facility’s ability to release the container until April 30, 2025. As discussed below, Claimant’s theory of the Claim fails on multiple levels.

a. Unjust and Unreasonable

First, Claimant has failed to establish that the assessment of detention fees under this scenario was unjust or unreasonable. It is undisputed that by the time Respondent assessed detention fees there was no longer a government hold in place. As such, the container was no

longer rendered unavailable due to a government inspection. *See* 46 C.F.R. § 545.5(c)(2)(i) (Commission considers the extent to which the practices and regulations “relate demurrage or free time to cargo availability for retrieval.”). At that point, once the government hold was lifted, the only reason the container was unavailable for release was because the freight payment was still outstanding. Ultimately, the responsibility to effectuate the freight payment was that of the shipper or Claimant as the consignee. Where the delay in releasing the container is caused by the shipper or consignee failing to meet their own freight payment obligations, detention fees serve “their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c).

Claimant also contends it was unjust and unreasonable for Respondent to assess detention fees during the free time allowed by the CES facility—arguing that since the last free day at the CES facility was May 2, 2025, Respondent should not have charged any detention fees before May 3, 2025. This argument lacks merit. The free time that the CES facility allowed before the facility would charge its own fees for storage of the container is wholly unrelated to the free time Respondent allowed for the container under its general tariff. In other words, the fact that the Claimant had until May 2, 2025, to transfer the container out of the CES facility without incurring charges from the facility, did not render the container unavailable until that date.

b. Proximate Cause of Loss

Second, Claimant has not established that Respondent’s acts or omissions were the proximate cause of the detention fees at issue. The record does establish that Claimant repeatedly requested that Respondent issue a revised invoice to change the billing from freight prepaid to collect at the port of destination, and that Respondent failed to do so despite conflicting communications indicating it would do so.¹³ However, there is simply no evidence that Respondent had any obligation to make the requested billing change. Claimant has failed to show that Respondent engaged in actions or omissions that prevented the freight payment. At most, Respondent’s actions prevented Claimant from effectuating the freight payment in Claimant’s preferred manner—by changing the billing method for collection of the freight payment at the port of destination. But Claimant’s own contentions demonstrate that Claimant had the power all along to effectuate freight payment at the port of origin in accordance with the shipping instructions and waybill—once Claimant requested the shipper to make payment at the port of origin, the freight payment was successfully made and Respondent released the OBL. In other words, Respondent’s failure to make the requested billing change was not the proximate cause of the detention fees because Claimant retained the ability to effectuate the freight payment at the port of origin as originally agreed upon.

¹³ Respondent’s averment that “[t]he record does not indicate why the shipper or consignee waited until [April 30, 2025]” to make payment is baseless. R. First RFI Resp. at No. 3. The record contains numerous emails that Claimant and Claimant’s broker exchanged with Respondent repeatedly attempting to change the freight billing from freight prepaid to collect to allow Claimant to make payment at the destination port. C. First RFI Resp. at Exs. 28-53. Respondent indicated it would make the billing change, and it is apparent that Claimant was waiting on Respondent to make the change. *Id.*

c. Normal, Customary, and Continuous Basis

Third, even if Claimant had established that Respondent's failure to make the requested billing change was an unreasonable or unjust act or omission that proximately caused the detention fees, there is no evidence that this was a pattern or practice "occurring on a normal, customary, and continuous basis." 46 C.F.R. § 545.4(b). Rather, the evidence indicates this was an isolated incident that occurred under unique circumstances—circumstances that were precipitated by Claimant's request to change the freight billing. Even if Respondent was at fault for failing to execute the requested billing change in a timely manner, there is no evidence that such failure was anything more than an "an isolated error or understandable misfortune." *Kamara*, 29 S.R.R. at 322 n.8, 2001 WL 898739 at *2 n.8. Claimant has not made any allegation that Respondent's conduct in failing to make the requested billing change was "something habitually performed" or "the usual course of conduct." *Stockton Elevators*, 3 S.R.R. at 618.

V. CONCLUSION

It is hereby **ORDERED** that the Claim is **DENIED** and **DISMISSED**.

SO ORDERED

Jamie L.
Mendelson -S

Digitally signed
by Jamie L.
Mendelson -S

Jamie L. Mendelson
Small Claims Officer